

4-2a The Demand Curve: The Relationship between Price and Quantity Demanded

The

quantity demanded (the amount of a good that buyers are willing and able to purchase) of any good is the amount of the good that buyers are willing and able to purchase. As we will see, many things determine the quantity demanded of a good, but in our analysis of how markets work, one determinant plays a central role: the good's price. If the price of ice cream rose to \$20 per scoop, you would buy less ice cream. You might buy frozen yogurt instead. If the price of ice cream fell to \$0.50 per scoop, you would buy more. This relationship between price and quantity demanded is true for most goods in the economy and, in fact, is so pervasive that economists call it the

law of demand (the claim that, other things being equal, the quantity demanded of a good falls when the price of the good rises)

: Other things being equal, when the price of a good rises, the quantity demanded of the good falls, and when the price falls, the quantity demanded rises.

The table in [Figure 1](#) shows how many ice-cream cones Catherine would buy each month at different prices. If ice-cream cones are free, Catherine buys 12 cones per month. At \$1 per cone, Catherine buys 10 cones each month. As the price rises further, she buys fewer and fewer cones. When the price reaches \$6, Catherine doesn't buy any cones at all. This table is a

demand schedule (a table that shows the relationship between the price of a good and the quantity demanded)

, a table that shows the relationship between the price of a good and the quantity demanded, holding constant everything else that influences how much of the good consumers want to buy.

Figure 1

Catherine's Demand Schedule and Demand Curve

The demand schedule is a table that shows the quantity demanded at each price. The demand curve, which graphs the demand schedule, illustrates how the quantity demanded of the good changes as its price varies. Because a lower price increases the quantity demanded, the demand curve slopes downward.

The graph in [Figure 1](#) uses the numbers from the table to illustrate the law of demand. By convention, the price of ice cream is on the vertical axis, and the quantity of ice cream demanded is on the horizontal axis. The line relating price and quantity demanded is called the

[**demand curve** \(a graph of the relationship between the price of a good and the quantity demanded\)](#)

. The demand curve slopes downward because, other things being equal, a lower price means a greater quantity demanded.

Chapter 4: The Market Forces of Supply and Demand: 4-2a The Demand Curve: The Relationship between Price and Quantity Demanded

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